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ECONOMIC STEWARDS

Planning Commission Deputy Chairman Montek Singh Ahluwalia with PM's economic adviser Raghuram Rajan in 2010; (left) Union home minister P. Chidambaram and finance minister Pranab Mukherjee in Delhi, Feb. 2009

The economic story of the UPA years is best understood not as a straight line of rise and fall, but as a pendulum, swinging from exuberant confidence to creeping anxiety, from global swagger to domestic self-doubt. Between 2005 and 2014, India experienced one of its most dramatic economic arcs since liberalisation: a mid-decade boom followed by a prolonged slowdown marked by inflation, capital flight, regulatory overreach and institutional paralysis.

By the middle of the first UPA term, the Indian economy appeared to have hit a sweet spot. Growth averaged close to 9 per cent, corporate profits surged, tax collections soared and consumer confidence was buoyant. The Sensex crossing 20,000 in December 2007 was not merely a market milestone. It was a psychological marker that India had arrived as a serious economic power. Tata Steel's acquisition of the Anglo-Dutch steelmaker Corus Group and Aditya Birla Group flagship Hindalco's takeover of US aluminium major Novelis in 2007 marked a defining moment, announcing that Indian entrepreneurs were no longer content to be junior partners in global capitalism. Tata Motors' purchase of Jaguar Land Rover in 2008 signalled a broader shift. Indian firms were using the balance sheets created by high domestic growth to buy global scale and prestige.

BY THE MIDDLE OF UPA 1, GDP GROWTH AVERAGED CLOSE TO 9 PER CENT, CORPORATE PROFITS SURGED, TAX COLLECTIONS SOARED AND CONSUMER CONFIDENCE WAS BUOYANT

This outward push was underpinned by strong domestic fundamentals. Credit was cheap, investment rates were high and the private sector, particularly telecom, infrastructure and manufacturing, was expanding rapidly. The UPA's political compact with the Left constrained reforms, but high global liquidity and robust